

record year in the making. In the past fifteen years, the number of mergers and acquisitions has come from about 1,000 per year to 7,469 in 1994, also a record. The merger mania of 1994-1995 has dwarfed the M&A frenzy of 1969, which according to the *Bank Credit Analyst* saw only a bit more than 6,000 announced deals that had a far smaller total market value. Such activity is indicative not of minor bull market tops, but of ones that precede prolonged and devastating bear markets. Making the current situation even more impressive from a psychological standpoint is that unlike the late 1980s period, merger activity in 1992-1995 has been financed more commonly with *stock* than with debt. Buyers like it, because unlike the junk bond financing of the 1980s, stock financing allows the buyer to owe nothing after the transaction; the stock is payment in full. The fact that the sellers are happy with the deal is quite a comment on the attractiveness of stocks to virtually everyone. If there is a cherry on this sundae, it is the newest craze on Wall Street: "blow-out bids," whereby a company buys another by offering so much for it that no sane company will make a competing offer. Recent such bids have represented nearly 30 times expected 1995 earnings and 50%-70% more than the market valued the stock just days before.

How can we recognize the end of the frenzy? As you can see in Figure 11-14, the expansion in M&A activity has followed an excellent Elliott Wave that is now in wave ⑤, which appears to have a bit more to go. It is crucial to mention that the peak of activity relating to the 1942-1968 bull market occurred in the year *after* the top, when bullish fever and hopes for a resumption of the old trend ran high, earnings were excellent, and the economy was peaking. Thus, the peak in M&A activity this time might occur a year or two after the stock market top, at or below the upper channel line in Figure 11-13.

Companies sometimes decide to "take over" their *own* companies. In 1994, corporations bought their own stocks so aggressively that it was a record buy-back year. Companies buy their own stock when prospects for future business appear attractive. In a bull market, they are often smart enough to do so when their stock pulls back in price. However, on the larger trend, company officers are part of the market's psychological fabric just like everyone else, and they tend to become bold when the company outlook appears strongest, which is usually near a top. As evidence for this observation, previous big buy-back years were 1987 and 1989, at or near market tops.